DeFi & Advanced Crypto

Module 4 Study Guide

Advanced Trading Strategies

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Reading On-Chain and Market Signals Together

In this lesson: Chart Price & Volume; Check Funding Rates; Track On-Chain Wallets; Calculate F

Key points

- Combine price, volume, funding rates, and on-chain activity
- Set strict percentage risk limits on total portfolio capital
- Calculate position size based on stop-loss distance

Examples from the lesson

- You are tuned into our course on DeFi and Advanced Crypto, and today we are kicking off Module 4, Advanced Trading Strategies, with Lesson 1: Reading On-Chain and Market Signals Together.
- Trading in crypto without a full signal check is like driving a maxi-taxi through Port of Spain traffic with your eyes half-closed.
- You cannot just rely on one dashboard gauge when making big decisions.
- Let’s put all four signals together in a concrete scenario using local currency to manage risk prudently.
- Imagine you have a total portfolio size of TT$ 20,000, and you are evaluating a trade signal.
- You decide to set a strict risk limit of 2% of your total capital on any single trade setup.
- To calculate your maximum dollar risk, multiply your TT$ 20,000 portfolio balance by your 2% risk limit.
- That calculation gives you a strict risk cap of exactly TT$ 400.
- This means no matter what happens in the market, you will not lose more than TT$ 400 on this entry.
- Suppose you confirm all four signals alignment: price is breaking out, volume is surging, funding rates are neutral, and exchange reserves are dropping.
- You identify a trade setup where your stop-loss distance is set at 5% from your entry price.
- To find your total position size, divide your TT$ 400 risk cap by the 5% stop-loss distance.
- This math allows you to enter a position size worth TT$ 8,000 in total value while keeping your drawdown locked strictly at your maximum risk cap of TT$ 400.

- By combining all four signals, you avoid jumping into fake breakouts or getting caught in high-leverage traps.
- In our next lesson, Lesson 2: Structured Strategies: DCA, Ranges, and Hedging, we will build on this signal analysis to explore structured execution methods that keep your portfolio steady in any market condition.

Lesson 2: Structured Strategies: DCA, Ranges, and Hedging

In this lesson: Dollar-Cost Averaging; Calculating DCA Outcomes; Automated Range Trading; B

Key points

- Structured strategies replace emotional impulses with predefined rules @ "replace emotional impulses with predefined rules that protect your hard-earned capital"
- DCA smooths out volatility by averaging entry cost @ "averaging down your entry cost, as seen in our four-week TT$1,200 allocation plan"
- Range trading and hedging automate profits and risk @ "Range orders automate taking profits between established support and resistance boundaries, while basic hedging protects your spot portfolio"

Examples from the lesson

- We are right in the middle of Module 4, Advanced Trading Strategies, and today we are tackling Lesson 2: Structured Strategies: DCA, Ranges, and Hedging.
- But seeing a signal is only half the battle.
- Imagine you decide to deploy TT$1,200 into a crypto asset over four weeks.
- Instead of throwing the entire TT$1,200 in on Monday morning because you felt a surge of FOMO, you set a strict rule to buy TT$300 every Friday afternoon, regardless of whether the market is pumping or dumping.
- If the price goes down on week two, your TT$300 simply buys more tokens.
- To see how this works in practice, let us walk through a complete four-week DCA example with real numbers.
- Suppose you start on Week 1 with your first allocation of TT$300, buying when the token price is TT$30. That gives you exactly 10 tokens. On Week 2, the market dips sharply to TT$20 per token.
- Your scheduled TT$300 purchase automatically secures 15 tokens.
- On Week 3, the market recovers slightly to TT$25 per token, so your TT$300 buys 12 tokens.
- Finally, on Week 4, the market rallies back up to TT$30 per token, and your last TT$300 installment gets you another 10 tokens.
- Over the course of the month, you spent a total capital of TT$1,200.
- By staying disciplined through every market shift, you accumulated a grand total of 47 tokens across the four purchases.
- If you divide your total TT$1,200 investment by those 47 tokens, your final average cost

comes out to just TT$25.53 per token.

- Notice how you bought during the dip without panic, ending up with a far better average entry price than if you had bought everything at the initial TT$30 peak.
- Dollar-cost averaging smooths out market volatility over time by averaging down your entry cost, as seen in our four-week TT$1,200 allocation plan.
- In our next lesson, Lesson 3: Position Sizing and Trade Journaling, we will learn how to calculate precise trade sizes and track performance metrics to keep your growth on track.

Lesson 3: Position Sizing and Trade Journaling

In this lesson: Why position sizing protects capital; Calculating risk and position size; Building

Key points

- Size trades by risk % and stop-loss
- Keep a detailed trade journal
- Review weekly to improve decisions

Examples from the lesson

- You're now in the course DeFi & Advanced Crypto, Module 4: Advanced Trading Strategies, Lesson 3: Position Sizing and Trade Journaling.
- Think of it like loading a maxi: you wouldn’t pile all your bags on one side and risk tipping over.
- Let’s make this concrete with a Trinidad and Tobago dollar example. Suppose your total trading portfolio is TT$50,000. You decide to risk no more than 2 % of your portfolio on each trade, which equals TT$1,000.
- This TT$1,000 is the amount you are prepared to lose if the trade hits your stop-loss level.
- Next, you look at the chart and set a stop-loss 5 % below your entry price because the asset shows moderate volatility.
- To find the dollar amount you can buy, divide your risk by the stop-loss percentage: TT$1,000 ÷ 0.05 = TT$20,000.
- So you would take a position worth TT$20,000, which might be about 16.7 units of a cryptocurrency priced at TT$1,200 each.
- If your stop-loss were wider, say 8 %, the same TT$1,000 risk would give you a smaller position: TT$1,000 ÷ 0.08 = TT$12,500.
- Conversely, a tighter stop of 3 % would allow a larger position: TT$1,000 ÷ 0.03 ≈ TT$33,333.
- You bought Ethereum at TT$1,200, with a position size of TT$20,000 (about 16.67 ETH).
- Your stop-loss was set at TT$1,140, a 5 % risk, and your target was TT$1,320.
- The market reacted positively to a fete-related announcement, and you exited at TT$1,300, realizing a profit of TT$9,600.
- At the end of each week, set aside fifteen minutes to review your journal.
- Size each trade by risking a fixed percent of your TT$50,000 portfolio, calculate position

size from your stop-loss distance, and keep the total exposure within your limits.

Recap checklist — can you say each one?

Lesson 1: Reading On-Chain and Market Signals Together

- ☐ Combine price, volume, funding rates, and on-chain activity
- ☐ Set strict percentage risk limits on total portfolio capital
- ☐ Calculate position size based on stop-loss distance

Lesson 2: Structured Strategies: DCA, Ranges, and Hedging

☐ Structured strategies replace emotional impulses with predefined rules @ "replace emotional impulses with predefined rules that protect your hard-earned capital"

☐ DCA smooths out volatility by averaging entry cost @ "averaging down your entry cost, as seen in our four-week TT$1,200 allocation plan"

☐ Range trading and hedging automate profits and risk @ "Range orders automate taking profits between established support and resistance boundaries, while basic hedging protects your spot portfolio"

Lesson 3: Position Sizing and Trade Journaling

- ☐ Size trades by risk % and stop-loss
- ☐ Keep a detailed trade journal
- ☐ Review weekly to improve decisions